

meaning that they exult over the elements that confirm their thesis while filtering out or looking past anything that may tend to disprove it.

Investors must do the work to develop conviction regarding an investment thesis, checking and rechecking their analysis before they act. At the same time, they must remain open to updated information and new perspectives, and thus to changing their minds as warranted and without bias. They must walk a tightrope of developing strong convictions but holding them lightly.

It is also important to recognize that while the outcomes of investments are determined by the fundamentals of the underlying businesses in which you invest, the returns are inextricably linked to the purchase price. The less you pay relative to underlying value, the higher your investment returns will be; discipline matters in both buying and selling. In the words of Graham and Dodd, “the price [of a security] is frequently an essential element, so that a stock . . . may have investment merit at one price level but not at another.” (First Edition Preface) The old adage sums it up: Price may be what you pay, but value is what you get.

AT THE CORE OF VALUE INVESTING: BUYING A DOLLAR AT A DISCOUNT

Value investing, whether in Graham and Dodd’s day or ours, is the practice of purchasing securities or assets for less than they are worth—buying the proverbial dollar for 50 cents. Value investors can profit two ways: both from the cash flows generated by the underlying business and from a capital gain when the market better recognizes the underlying value and reprices the security. They also benefit from an important margin of safety conferred by the bargain purchase. A margin of safety provides room for error, imprecision, bad luck, or the vicissitudes of the economy and stock market. It offers a degree of downside protection. While some might mistakenly consider value